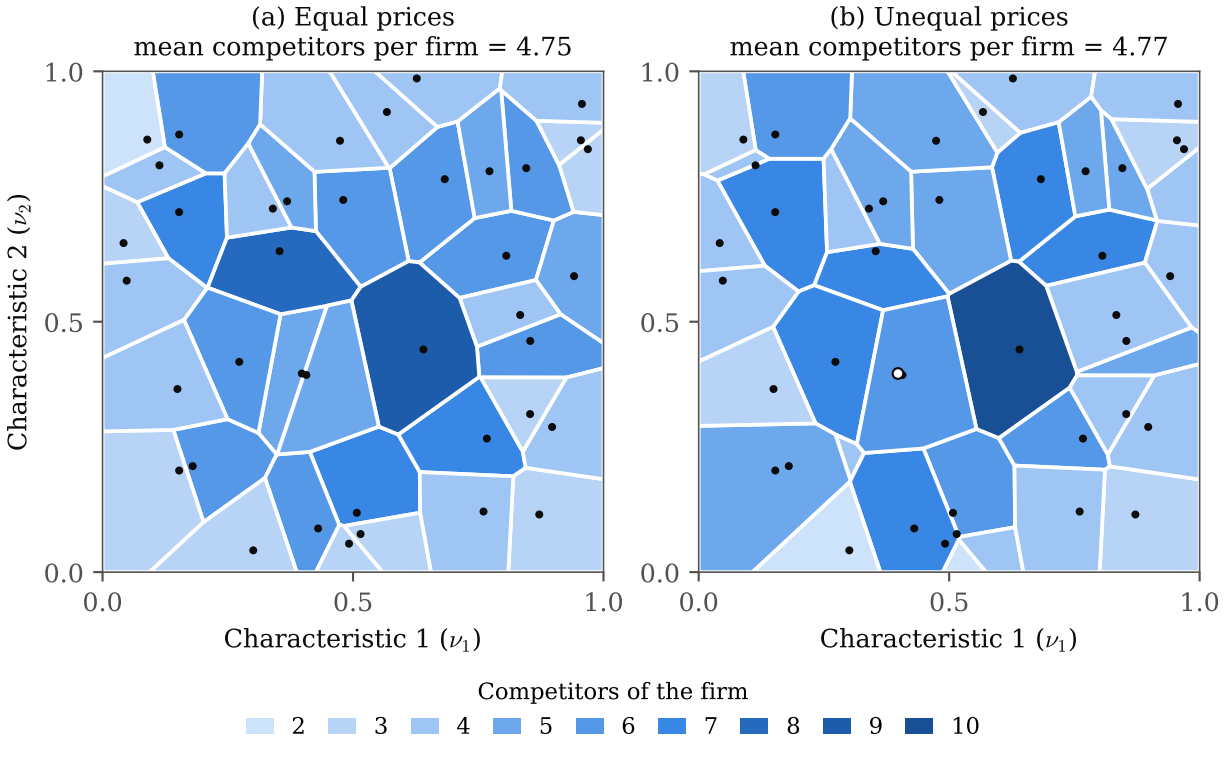
(a) Equal prices
mean competitors per firm = 4.75
(b) Unequal prices
mean competitors per firm = 4.77
1.0
0.5
0.0
0.0
0.5
1.0
Characteristic 2 (ν_2)
Characteristic 1 (ν_1)
Competitors of the firm
2
3
4
5
6
7
8
9
10